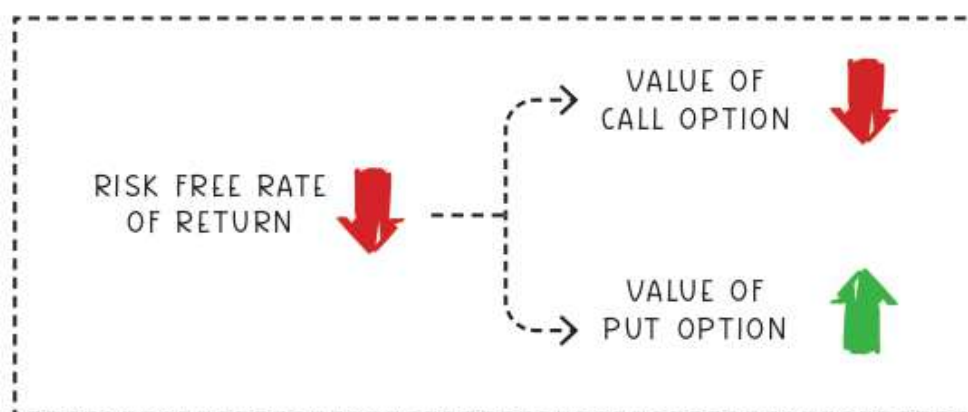
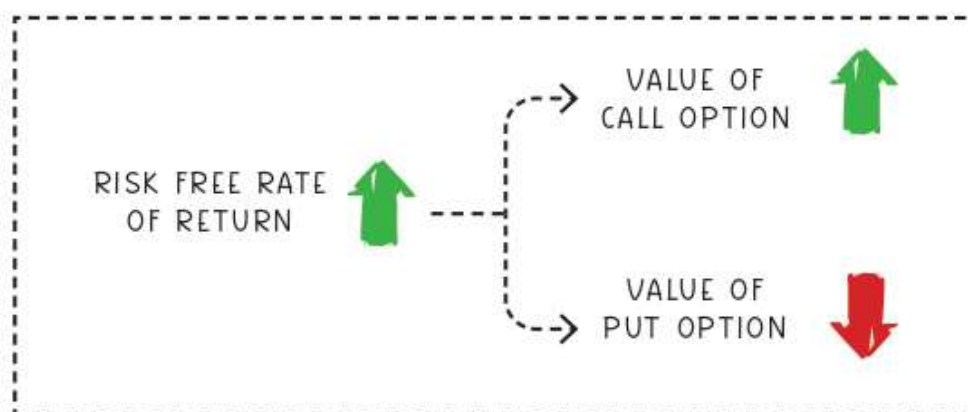


The impact of the risk-free rate of return is that as the risk-free rate increases, the value of call option increases and value of put option decreases. At the same time, if the risk free rate decreases, the value of call decreases and the value of put increases. The reason for this to happen is that as the risk free rate increases in the economy, the overall interest rates in the economy also increases. When this happens, the expected returns from most asset classes go up. Since, asset prices are likely to go up, Call Options become relatively more expensive and Put options become less valuable.



So, as the stock price is expected to rise at a higher pace than risk-free rate, the options price is affected.

The Seller will only take on the risk despite increased likelihood of the share prices increasing, if they receive a higher premium for the same.

We can look at the Market Return as this,

$$\text{MARKET RETURN} = \text{RISK FREE RATE} + \text{RISK PREMIUM}$$